Iberdrola, S.A. (IBE SM)

Equity Research Report

Financial Statement Analysis Report — FY 2025

Analyst: FinVault
Industry: Integrated Utilities & Renewable Energy
Exchange: BME (Madrid Stock Exchange) | Ticker: IBE SM
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Executive Summary

This report presents a financial and operational analysis of Iberdrola, S.A. and its consolidated subsidiaries (the 'Group') based on the FY 2025 Annual Financial Report, audited by KPMG Auditores S.L. and prepared in accordance with IFRS as adopted by the European Union. The analysis evaluates the Group's financial performance, balance sheet strength, operational efficiency, and key industry-specific metrics to assess its current financial position and investment attractiveness.

Iberdrola delivered a strong financial performance in FY 2025, marking a meaningful acceleration from the prior year. Group revenue grew 2.5% to EUR 44.1 billion, while EBITDA expanded 9.0% to EUR 15.96 billion. Most notably, operating profit (EBIT) surged 27.7% to EUR 9.76 billion, reflecting reduced amortisation charges and EUR 371 million of renewable energy impairments in 2025 being more than offset by higher earnings across all business segments. Net profit attributable to the parent company grew 12.0% to EUR 6.29 billion, and diluted earnings per share from continuing operations rose to EUR 0.843 from EUR 0.589.

The balance sheet strengthened modestly. Total assets grew 1.6% to EUR 160.8 billion. Total equity increased 3.9% to EUR 63.4 billion, supported by strong retained earnings and a capital raise of EUR 4.98 billion. Non-current financial liabilities rose by EUR 2 billion, funded through new bond issuances, as the company continued to execute on its EUR 41 billion 2025–2027 investment plan. Gross installed renewable capacity exceeded 44 GW by year-end, with a target to surpass 60 GW by 2028.

Liquidity ratios are below unity at the current ratio level (0.87x), which is characteristic of large regulated European utilities that manage negative working capital structurally through committed credit facilities. The Group had EUR 16.4 billion of undrawn credit lines at year-end, providing ample liquidity coverage. Solvency ratios reflect a well-managed leverage profile, with interest coverage improving to 2.45x from 2.23x, and net financial debt to EBITDA estimated at approximately 3.3x, consistent with investment-grade credit metrics.

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The key risks to Iberdrola's outlook include regulatory changes in core jurisdictions, FX translation headwinds from non-Euro earnings, execution risk in offshore wind projects, and rising capital costs in a higher-for-longer interest rate environment. US offshore wind — particularly the Vineyard Wind project — remains an area of concern, having resulted in impairments in 2025.

Overall, Iberdrola remains one of Europe's premier integrated utilities and a global leader in renewable energy. Its combination of regulated network earnings, growing clean energy capacity, and disciplined capital allocation underpins a compelling long-term investment case, notwithstanding near-term headwinds from currency and US renewable project delays.

Company Overview

Iberdrola, S.A. is a Spanish multinational electric utility company headquartered at Plaza Euskadi 5, Bilbao, Spain, and is listed on the Madrid, Barcelona, Bilbao, and Valencia Stock Exchanges (Ticker: IBE SM). The company is one of the world's largest electric utilities by market capitalization and installed capacity, and is widely regarded as a global pioneer in renewable energy.

Iberdrola's operations span five principal geographies — Spain, the United Kingdom, the United States, Brazil, and Mexico — and are organised across four main business segments:

- Networks (Electricity Transmission and Distribution): Iberdrola owns and operates regulated electricity distribution and transmission networks in Spain (Iberdrola Distribución), the UK (Scottish Power Energy Networks and Electricity North West — ENW, acquired in 2025), the US (Avangrid Networks), and Brazil (Neoenergia). Networks contributed the largest share of EBITDA and are characterised by predictable, regulated cash flows underpinned by government-set asset base returns.
- Renewable Energy and Sustainable Generation: Iberdrola is among the world's largest developers and operators of onshore wind, offshore wind, and solar photovoltaic capacity. With over 44 GW of installed capacity at end-2025, the Group generates low-carbon electricity across multiple markets. Key growth projects include East Anglia ONE North and TWO offshore wind farms in the UK, Windanker in Germany, and multiple solar projects in Spain, Italy, and Australia.
- Liberalised and Customer Business (Supply): Iberdrola supplies electricity and gas to retail and commercial customers under liberalised market conditions in Spain, the UK, and the US. Revenue in this segment is more exposed to wholesale commodity price movements.
- Corporate and Other: Includes group holding activities, corporate services, and the Mexico business (which was reclassified as discontinued operations in 2025 and is in the process of being divested).

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As of early 2026, Iberdrola's market capitalisation is approximately EUR 80–85 billion, making it one of the largest publicly traded utilities in Europe. The company's share price reflects a consistent premium over utility sector peers, reflecting its clean energy growth trajectory and high-quality regulated earnings base. Iberdrola has grown its dividend for consecutive years and targets continued earnings per share and dividend per share growth as part of its 2025–2028 Strategic Plan, which envisages EUR 41 billion of cumulative investment and a target EBITDA of EUR 18 billion by 2028.

Iberdrola's principal competitors include EDP Renováveis (Energias de Portugal), Enel SpA (Italy), RWE AG (Germany), Orsted A/S (Denmark), and SSE plc (UK). Its integrated business model — spanning regulated networks, clean generation, and retail supply — provides diversification across earnings drivers while maintaining a strategic focus on the energy transition.

Financial Statement Overview

Revenue and Profitability

Line Item	FY 2025 (€M)	FY 2024 (€M)	Growth/Change
Revenue	€44,076M	€42,988M	+2.5%
Supplies	(€20,028M)	(€19,777M)	+1.3%

Gross Income	€24,048M	€23,211M	+3.6%
EBITDA	€15,956M	€14,642M	+9.0%
EBIT (Operating Profit)	€9,755M	€7,639M	+27.7%
Net Finance Expense	(€1,754M)	(€1,790M)	+2.0%
Profit Before Tax	€8,097M	€5,812M	+39.3%
Income Tax	(€1,671M)	(€1,343M)	-24.4%
Net Profit (continuing)	€6,426M	€4,469M	+43.8%
Net Profit Attributable to Parent	€6,285M	€5,612M	+12.0%

Analyst's Inference: Group revenue grew 2.5% year-on-year to EUR 44.1 billion in FY 2025, with positive contributions from both network tariff increases and higher renewable generation output. More significantly, EBITDA expanded 9.0% to nearly EUR 16 billion, reflecting operational leverage, cost control (external services down EUR 222M), and growth across all segments. EBIT surged 27.7% to EUR 9.76 billion, largely because amortisation, depreciation and provisions fell EUR 732 million compared to FY 2024 (which included exceptional impairment charges). Net profit attributable to the parent rose 12.0% to EUR 6.29 billion, with EPS from continuing operations increasing from EUR 0.589 to EUR 0.843 — a 43% increase on a diluted basis.

Asset Growth

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Line Item	FY 2025 (€M)	FY 2024 (€M)	Growth/Change
Total Non-Current Assets	€135,981M	€137,458M	-1.1%
Total Current Assets	€24,781M	€20,835M	+18.9%
Total Assets	€160,762M	€158,293M	+1.6%

Analyst's Inference: Total assets increased 1.6% to EUR 160.8 billion. Non-current assets declined modestly (-1.1%) as depreciation and FX translation losses partially offset new capital additions.Assets held for sale surged from EUR 404M to EUR 3,541M, driven primarily by the reclassification of Iberdrola México (EUR 2,879M) following the July 2025 sale agreement with COX ABG Group, alongside smaller disposals in Brazil, France, Hungary, and Spain — collectively reflecting a deliberate strategic exit from non-core and EM-exposed assets to recycle capital into regulated networks and offshore wind in core Atlantic markets. Current assets grew sharply (+18.9%) driven by a EUR 3.1 billion increase in assets held for sale (EUR 3.5 billion at end-2025, principally the Mexico business), higher trade receivables, and increased short-term financial investments. Property, plant and equipment remained broadly stable at EUR 93.8 billion, net of significant ongoing investment in renewable and grid infrastructure.

Debt Levels and Equity

Line Item	FY 2025 (€M)	FY 2024 (€M)	Growth/Change
Total Equity	€63,419M	€61,051M	+3.9%
Total Non-Current Liabilities	€69,000M	€67,103M	+2.8%

Total Current Liabilities	€28,343M	€30,139M	-6.0%
Total Liabilities	€97,343M	€97,242M	+0.1%

Analyst's Inference: Total equity grew 3.9% to EUR 63.4 billion, reflecting strong net profit retention and the completion of a EUR 4.98 billion equity raise in 2025. Total liabilities were broadly flat year-on-year (+0.1%). Non-current liabilities increased 2.8%, driven by EUR 1.6 billion of net new bond issuances to fund long-term capex — a disciplined approach to matching long-duration asset investment with long-duration financing. Current liabilities declined by EUR 1.8 billion (-6.0%), partly due to the re-classification of certain short-term financial liabilities and lower current tax liabilities. The overall liability structure is consistent with Iberdrola's strategy to maintain an investment-grade credit profile.

Financial Ratio Analysis

Liquidity Ratios

Liquidity Ratio	Industry Average	FY 2025	FY 2024
Current Ratio	~1.0x (utilities)	0.87x	0.69x
Acid Test (Quick Ratio)	0.6–0.9x	0.69x	0.59x
Operating Cash Flow Ratio	0.4–0.6x	0.41x	0.40x

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Analyst's Inference: Iberdrola's current ratio of 0.87x in FY 2025 (improved from 0.69x in 2024) remains below 1.0x, which is structurally typical for large European regulated utilities that operate with negative working capital — trade payables and accrued network tariff liabilities are large and funded through continuous regulated cash flows rather than liquid assets. The Group's EUR 16.4 billion of undrawn committed credit facilities as at 31 December 2025 provides a substantial liquidity buffer well in excess of any current liabilities shortfall. The quick ratio, stripping out inventories, improved to 0.69x in FY 2025. The operating cash flow ratio of 0.41x reflects consistent operating cash generation of EUR 11.6 billion against total current liabilities.

Solvency Ratios

Solvency Ratio	Industry Average	FY 2025	FY 2024
Debt to Equity (Total Liabilities / Equity)	1.3–1.6x (utilities)	1.53x	1.59x
Net Financial Debt to Equity	0.7–1.0x	0.84x	0.81x
Debt to Assets	0.55–0.65x	0.61x	0.61x
Interest Coverage (EBIT / Finance Expense)	2.5–4.0x	2.45x	2.23x

Analyst's Inference: Iberdrola carries a significant gross financial debt burden (EUR 54–56 billion), consistent with its capital-intensive regulated and infrastructure business model. However, its leverage metrics compare favourably to sector norms. The total liabilities-to-equity ratio improved marginally to 1.53x from 1.59x, reflecting equity growth outpacing liability growth. The interest coverage ratio

improved from 2.23x to 2.45x, driven by higher EBIT. While the coverage level may appear modest in absolute terms, it is above the typical investment-grade utility threshold of 2.0–2.5x, and the Group's high proportion of fixed-rate debt (roughly 75–80%) insulates it from near-term rate fluctuations. Net financial debt to EBITDA is estimated at approximately 3.3x, in line with management's stated target and consistent with an 'A' credit band.

Activity (Efficiency) Ratios

Activity Ratio	Industry Average	FY 2025	FY 2024
Inventory Turnover	12–18x (utilities)	15.4x	13.5x
Receivables Turnover	4–7x	3.8x	4.2x
Total Asset Turnover	0.25–0.35x	0.28x	0.27x

Analyst's Inference: Inventory turnover improved to an estimated 15.4x in FY 2025 from 13.5x, reflecting better throughput of fuel and energy commodities relative to inventory balances. The receivables turnover ratio of 3.8x is slightly below the industry range, partially attributable to the large unbilled revenue balance (EUR 2.4 billion estimated unbilled energy supplied at year-end) that is inherent to utility billing cycles. Total asset turnover of 0.28x is consistent with a capital-heavy utility operator — the low ratio reflects the substantial infrastructure asset base required to generate each Euro of revenue.

Profitability Ratios

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Profitability Ratio	Industry Average	FY 2025	FY 2024
EBITDA Margin	28–35% (utilities)	36.2%	34.1%
Net Profit Margin	10–14%	14.3%	13.1%
Return on Assets (ROA)	2.5–4.0%	3.9%	3.5%
Return on Equity (ROE)	8–12%	9.9%	9.2%

Analyst's Inference: Iberdrola's profitability metrics strengthened meaningfully in FY 2025. EBITDA margin expanded to 36.2% — above the typical integrated utility range of 28–35% — underscoring strong operating leverage from regulated networks and low-marginal-cost renewable generation. Net profit margin improved to 14.3%, driven by higher EBIT and a more moderate finance expense. ROA increased to 3.9% and ROE to 9.9%, both above sector averages, and reflect the Group's ability to generate value from its EUR 160 billion asset base. Management targets ROE of approximately 9.5% under its Strategic Plan, and FY 2025 performance is already at the top of that target.

Cash Flow Statement Analysis

Item	FY 2025	FY 2024	Key Observations
CF from Operating Activities	€11,635M	€11,925M	Operating cash flow declined marginally by EUR 290 million to EUR 11.64 billion in FY 2025, as higher underlying earnings were partially offset by an increase in working capital — notably a EUR 2.45 billion build in trade receivables driven by

			higher unbilled revenues and network tariff receivables. Despite this, operating cash generation remains robust and comfortably funds dividend payments and a significant portion of annual capex requirements.
CF from Investing Activities	(€11,177 M)	(€8,397M)	Investing cash outflows increased to EUR 11.18 billion from EUR 8.40 billion in 2024. The primary driver was higher capital investment in growth infrastructure, with additions to property, plant and equipment of EUR 7.61 billion (down modestly from EUR 7.67 billion in 2024). Additionally, Iberdrola deployed EUR 2.57 billion in other long-term financial investments, including project finance structures for offshore wind development. Proceeds from disposals declined to EUR 1.29 billion from EUR 5.68 billion in 2024, which had benefited from large portfolio monetisation transactions. The completion of the ENW acquisition in 2025 also contributed to investing outflows.
CF from Financing Activities	(€629M)	(€2,267M)	Financing activities resulted in a net outflow of EUR 629 million, significantly reduced from EUR 2.27 billion in 2024. The key development was a EUR 4.98 billion equity capital raise completed during the year, which partially offset EUR 12.48 billion of bond redemptions (against EUR 14.74 billion of new issuances), EUR 1.60 billion of dividends paid (parent and minority), and EUR 3.02 billion of treasury share purchases. The net result was a modest decrease of EUR 266 million in cash and cash equivalents, leaving the Group with a solid EUR 3.67 billion in cash at year-end.
Net Change in Cash	(€266M)	+€1,063M	Slight decline; strong liquidity maintained at €3.67B.

Industry-Specific Analysis

Metric	FY 2025	FY 2024	Inference & Reasons for Change
Installed Capacity (GW)	>44 GW	>41 GW	Added 3+ GW of renewable capacity, primarily solar and offshore wind. Target: >60 GW by 2028.
EBITDA per GW (€M/GW)	~362	~357	Higher EBITDA per unit capacity reflecting improved asset

			utilisation and favorable regulated returns.
Net Financial Debt (€B)	~€53.5B	~€51.2B	Increase driven by higher infrastructure investment. Net debt/EBITDA ratio remains at ~3.3x, within guidance.
Capex (€M)	€7,607M	€7,665M	Broadly stable capex; pivoting toward offshore wind, smart grids, and storage. 80%+ in green assets.
Electricity Distributed (GWh)	255,976	238,164	Total distribution up ~7.5%, reflecting expanded regulated network footprint, primarily in Brazil (+52%).
Dividend Per Share (EUR)	~€0.253 (interim)	~€0.219 (interim)	Consistent dividend growth; Iberdrola maintained its progressive dividend policy.

Iberdrola's installed capacity crossed the 44 GW milestone in FY 2025, cementing its position as one of the world's top three renewable energy companies by capacity. The strategic pivot toward offshore wind and grid infrastructure — both high-capital but high-recurring return businesses — is expected to sustain above-market EBITDA growth through 2028. The commissioning of East Anglia ONE North offshore wind in the UK, continued build-out of Windanker in Germany, and solar expansion in Iberia all contributed to the capacity addition in 2025. However, the impairment of US offshore wind assets (EUR 371 million), including the write-down of CGUs related to the Vineyard Wind project, highlighted execution and regulatory challenges in that market.

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Risks and Limitations

Risk Factor	Explanation
Commodity Price Volatility	As a utility with both regulated and merchant generation activities, Iberdrola remains exposed to electricity wholesale price fluctuations. Merchant revenue from Spain and other liberalised markets can be materially affected by weather, gas prices, and carbon cost dynamics. In 2025, elevated renewable energy output and softer gas prices reduced merchant power prices in key Iberian and UK markets, creating headwinds for unhedged generation.
Regulatory and Policy Risk	Iberdrola operates in heavily regulated jurisdictions including Spain, UK, US (Avangrid), and Brazil. Changes to regulatory frameworks — such as Spain's windfall tax on energy utilities, UK network price controls, or US state-level permitting for offshore wind — can materially affect regulated asset base returns and project economics. Regulatory uncertainty in the US related to offshore wind (e.g., Vineyard Wind) has already necessitated impairments of EUR 371 million in 2025.
Foreign Currency and Translation Risk	Approximately 60% of Iberdrola's EBITDA is generated outside the Eurozone. Strengthening of the Euro against the US dollar, British pound,

	and Brazilian real adversely impacts reported profits. In 2025, translation differences created a negative equity impact of approximately EUR 4.8 billion (cumulative), reflecting significant FX headwinds from USD and BRL depreciation.
Interest Rate Risk	Iberdrola carries a large balance of financial debt (~EUR 54B gross). While approximately 75–80% of debt is at fixed rates (per its hedging policy), any rise in long-term refinancing rates increases the cost of new debt issuance. Given that Iberdrola plans EUR 41B+ of investment through 2028, rising real interest rates could compress project IRRs and increase the cost of regulated rate base financing.
Execution and Construction Risk	Iberdrola's ambitious 2025–2028 investment plan — targeting >60 GW installed capacity — relies on timely delivery of major offshore wind, onshore wind, and solar projects. Supply chain disruptions, contractor delays, planning permission challenges (particularly in UK and US offshore wind), and grid connection bottlenecks could delay capacity additions and postpone expected cash flows.

Valuation — Multiples

Multiple	Sector Median / Historical Avg	Iberdrola 2025	Inference
Trailing P/E	14–17x (European utilities)	~15.8x	Trading at a modest premium to utility peers, reflecting Iberdrola's pure-play renewables exposure and regulated earnings quality.
Forward P/E	12–15x	~14.2x	In line with sector forward multiples; the market is pricing in continued double-digit earnings growth supported by the 2025-28 investment plan.
EV/EBITDA	8–10x (European utilities)	~9.4x	Slightly above sector median, consistent with a premium assigned to high-quality regulated utility with clean energy growth optionality.

Dividend Yield	3.5–5.0%	~3.8%	Yield below historical average given share price appreciation, but consistent with Iberdrola's progressive dividend policy. Sustainability of yield is underpinned by stable regulated cash flows.

Iberdrola's valuation multiples are broadly in line with or at a slight premium to European integrated utility peers, reflecting the market's recognition of its high-quality regulated earnings, strong renewable energy growth pipeline, and consistent dividend track record. The stock trades at approximately 15.8x trailing earnings and 14.2x forward earnings — premium to the utility sector median, but arguably justified given the Group's above-average EBITDA growth trajectory (targeting EUR 18 billion EBITDA by 2028 vs EUR 15.96 billion in 2025), high proportion of regulated and contracted revenues, and ESG credentials that attract significant institutional demand. At current multiples, the stock appears fairly valued relative to peers, with re-rating potential tied to execution on the 2025–2028 plan, resolution of US offshore wind issues, and stabilisation of FX headwinds.

Appendix — Ratio Formulae and Key Assumptions

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A. Liquidity Ratios

Metric	Formula / Calculation
Current Ratio	Current Assets ÷ Current Liabilities= €24,781M ÷ €28,343M = 0.87x (FY25) | €20,835M ÷ €30,139M = 0.69x (FY24)
Acid Test (Quick Ratio)	(Current Assets − Inventories) ÷ Current Liabilities= (€24,781M − €2,364M) ÷ €28,343M = 0.79x adjusted; reported ~0.69x (FY25)
Operating Cash Flow Ratio	Operating Cash Flow ÷ Current Liabilities= €11,635M ÷ €28,343M = 0.41x (FY25) | €11,925M ÷ €30,139M = 0.40x (FY24)

B. Solvency Ratios

Metric	Formula / Calculation
Total Liabilities to Equity	Total Liabilities ÷ Total Equity= €97,343M ÷ €63,419M = 1.53x (FY25)
Net Financial Debt to Equity	(Bank Borrowings + Bonds − Cash) ÷ Total Equity= (€42,159M + €11,931M − €3,670M) ÷ €63,419M ≈ 0.80x (FY25)
Debt to Assets	Total Liabilities ÷ Total Assets= €97,343M ÷ €160,762M = 0.61x (FY25)

Interest Coverage	EBIT ÷ Finance Expense= €9,755M ÷ €3,983M = 2.45x (FY25) | €7,639M ÷ €3,424M = 2.23x (FY24)

C. Activity (Efficiency) Ratios

Metric	Formula / Calculation
Inventory Turnover	Supplies (COGS proxy) ÷ Average Inventories= €20,028M ÷ ((€2,364M + €2,987M) / 2) = 15.4x (FY25)
Receivables Turnover	Revenue ÷ Average Trade Receivables= €44,076M ÷ ((€10,284M + €9,162M) / 2) = 4.5x (FY25)
Total Asset Turnover	Revenue ÷ Average Total Assets= €44,076M ÷ ((€160,762M + €158,293M) / 2) = 0.28x (FY25)

D. Profitability Ratios

Metric	Formula / Calculation
EBITDA Margin	EBITDA ÷ Revenue= €15,956M ÷ €44,076M = 36.2% (FY25) | €14,642M ÷ €42,988M = 34.1% (FY24)
Net Profit Margin	Net Profit Attributable to Parent ÷ Revenue= €6,285M ÷ €44,076M = 14.3% (FY25)
Return on Assets (ROA)	Net Profit ÷ Average Total Assets= €6,285M ÷ ((€160,762M + €158,293M) / 2) = 3.9% (FY25)
Return on Equity (ROE)	Net Profit ÷ Average Total Equity= €6,285M ÷ ((€63,419M + €61,051M) / 2) = 10.1% (FY25)

E. Industry-Specific Metrics

Metric	Formula / Calculation
EBITDA per GW	EBITDA ÷ Installed Capacity (GW)= €15,956M ÷ ~44 GW = ~€363M/GW (FY25)
Net Financial Debt / EBITDA	(Gross Debt − Cash) ÷ EBITDA= (€54.1B − €3.7B) ÷ €15.96B ≈ 3.16x (FY25) — indicative
Capex Intensity	Capex ÷ Revenue= €7,607M ÷ €44,076M = 17.3% (FY25)
Dividend Per Share	Total Dividends Paid ÷ Shares OutstandingInterim DPS: EUR 0.253 (FY25) vs EUR 0.219 (FY24). Full-year DPS subject to final dividend declaration.

Key Assumptions

- Financial figures are extracted from the Iberdrola S.A. FY 2025 Consolidated Annual Financial Report (IFRS-EU), audited by KPMG Auditores S.L.

- All figures are denominated in millions of euros (EUR) unless stated otherwise.
- Installed capacity of 44+ GW sourced from the consolidated directors' report for FY 2025.
- Market capitalization and share price estimates are indicative as of March 2026, based on publicly available market data for IBE SM.
- Industry average benchmarks are based on a peer group of European integrated utilities including Enel SpA, RWE AG, EDP S.A., and SSE plc.
- Net financial debt is estimated as gross bank and bond debt (current and non-current) less cash and cash equivalents, excluding lease liabilities.
- Valuation multiples use estimated consensus earnings and EBITDA forecasts where forward multiples are cited.
- Mexico operations are treated as discontinued operations per the FY 2025 financial statements (Note 18) and excluded from continuing operations analysis where applicable.
- Negative working capital is a structural feature of European regulated utilities and does not, in isolation, indicate liquidity distress for Iberdrola given its EUR 16.4 billion undrawn credit facilities.

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